

Advanced Taxation — Taxation of Cross-Border Activities — PREVIEW

Course: CPA — Certified Public Accountant | Level: Advanced Level 1

This is a free preview covering the introduction and Section 1 only.

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1. Residence and cross-border taxation

Why residence matters:

- Tax liability in Kenya turns on *residence*, not nationality.
- Residents: taxed on worldwide income (Kenya + foreign employment income), at graduated rates.
- Non-residents: taxed only on Kenya-sourced income, often at special/flat withholding rates.

Individual — resident if:

- Has a permanent home in Kenya and was present for any period in the year; or
- No permanent home, but present ≥ 183 days total in the year; or
- No permanent home, but present in the current year *and* averaged >122 days/year over the two preceding years.

Body of persons — resident if:

- Incorporated under Kenyan law; or
 - Management and control exercised in Kenya during the year; or
 - Gazetted as resident by the Cabinet Secretary, National Treasury.
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Unlock the full paper

The complete version includes DTAs and the credit-relief method, EAC/COMESA integration stages, MFN status, OSBPs, GSP/AGOA, tax havens and treaty shopping, TIEAs, transfer pricing under the OECD guidelines, a fully worked double-taxation-relief question, and a 10-question original self-assessment kit with model answers.

Purchase the full paper to continue.

